

To: Srinivas Katikithala, Secretary, Ministry of Housing and Urban Affairs, Govt. of India

From: Vashishth Doshi, Policy Analyst, Heinz Policy Institute

Date: September 13, 2024

Subject: Urban Regeneration Projects Should Have More Local Relevance

Summary: The Indian government plans and executes urban regeneration projects with high financial and infrastructural needs due to chronically under-funded local governments. The lookout for business benefits naturally outrank the public service delivery principles of these consulting firms. Despite their international expertise, local project goals are misrepresented due to a lack of understanding of local issues.

Problem Definition:

India laid out over **USD 19.5 billion** under the '**Smart City Mission (SCM)**' in an effort at urban regeneration via area based development (ABD) plans, and smarter infrastructure (using information and communication technology applications to digital interconnect public services). Even after such massive expenses, projects fall short of making a difference at the local levels.

The requirement of high technical expertise and on-ground presence, over the already massive workloads, necessitate the deployment of private agencies as consulting partners for these projects. With **no local-interest representation in these projects**, generally acceptable solutions, with a **one-size-fits-all approach** are applied. Underlying local issues are not addressed at their roots and these solutions blanket over such gaps for some time. With time, older issues resurface and there needs to be another great investment – and the process repeats.

Key Findings:

Developing economies like India tend to have a top-heavy government structure,

with greater operational and financial capacity at the higher levels of government – federal (national) or state government. Local area governments are not financially empowered to carry out herculean urbanization projects. Projects in India are carried out by various implementing agencies termed 'program management units'. They are essentially **private firms who consult from ideation to execution of projects** – as extensions of the national government's capacity.

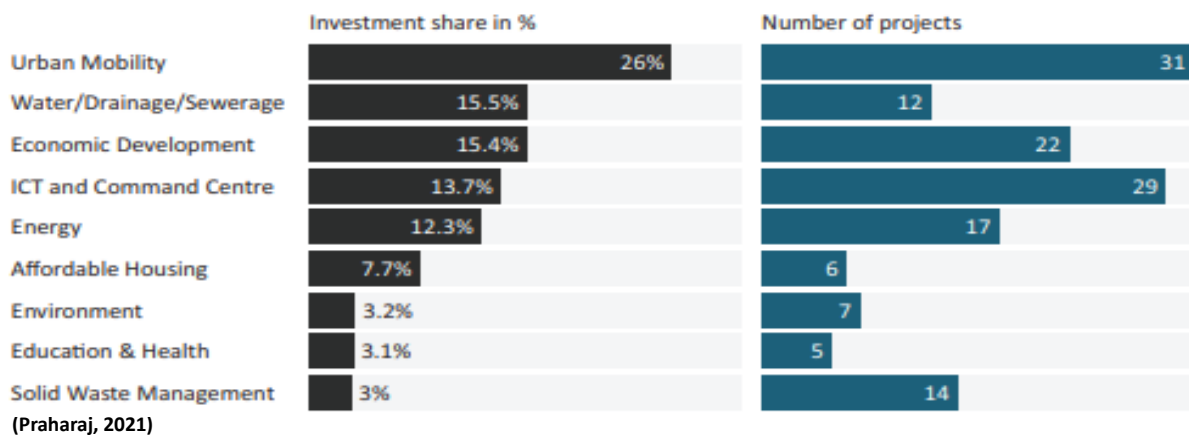
There has been substantial research that smart city interventions are not equitable (Nugent & Suhail, 2021). They are demonstrations of development driven by private corporations which replicate technology solutions from one place to another (Wiig, 2015). This **barricades culturally driven and locally sensitive urbanization** (Praharaj, 2021).

Smart city promoters (in this case, consulting firms), cite knowledge resources that suggest such development uplifts *all* stakeholders. However, these **knowledge resources are based with focus overwhelmingly on the parameters, processes and practices of the 'Global North'** (Praharaj et al., 2018). In major parts of the 'Global South', essential public

services are lagging and inequality still persists. That reality is ruefully not appreciated, while suggesting development methods which may have worked worldwide (Söderström et al., 2014).

expenditure of USD 36 million as compensation to 1,499 consultants from external firms, including the *Big Four*.

An **intra-urban divide is furthered**, as the populations who most require it, go



Implications:

Research on the inclusivity of these urban regeneration projects suggests that “81% of the investments under the SCM allocated for ABD will impact one out of ten people in the 100 selected cities. In the large cities, an average of three out of 100 people will be benefited from ABD projects” (Praharaj, 2021). **These projects benefit small pockets of the city – increasing the possibility that they further skew the urban divide – instead of bridging it**

Within the Government of India, 44 departments alone incurred and annual

unserved. Out of 143 projects in 33 cities from the first two phases of the smart city mission, 77 projects focused on urban mobility, ICT and digital infrastructure. In contrast, only 18 projects focused on affordable housing, education and health and environment (Praharaj, 2021). The skew on project expenditure is similarly against the essential requirements of urban populations.

Acting on this is pertinent, considering the burgeoning population of Indian cities and their growing lifestyle requirements – so that **resources are spent for outcomes that build-up from the local ethos**.

Further Readings and Sources:

- Nugent, D., & Suhail, A. (2021). Crisis, Disorder and Management: Smart Cities and Contemporary Urban Inequality. In *Urban Inequalities* (pp. 145–169). Springer International Publishing. https://doi.org/10.1007/978-3-030-51724-3_8
- Praharaj, S. (2021). Area-Based Urban Renewal Approach for Smart Cities Development in India: Challenges of Inclusion and Sustainability. *Urban Planning*, 6(4), 202–215. <https://doi.org/10.17645/up.v6i4.4484>
- Praharaj, S., Han, J., & Hawken, S. (2018). Evolving a locally appropriate indicator system for benchmarking sustainable smart cities in India. *Sustainable Development Research in the Asia-Pacific Region.*, W. Leal Filho, J. Rogers, U. Iyer-Raniga (Eds.), 253–274.
- Söderström, O., Paasche, T., & Klauser, F. (2014). Smart cities as corporate storytelling. *City*, 18(3), 307–320. <https://doi.org/10.1080/13604813.2014.906716>
- Wiig, A. (2015). *IBM's Smart City as Techno-Utopian Mobility*